

# Leveraging Generative AI for Operational Excellence & EBITDA Expansion

**Alphapointe** · Leveraging Generative AI to Strengthen a 114-Year Mission-Driven Manufacturing Enterprise

PREPARED BY CHIEF AI OFFICER · CONFIDENTIAL



# Company at a Glance

**\$66.5M**

**FY2024 Revenue**

IRS Form 990 confirmed

**~350**

**Employees**

9 locations across MO, NY, KS,  
AR

**114**

**Years Operating**

Founded 1911 · Kansas City,  
MO

**172M+**

**Products Annually**

Prescription bottles, office  
products, tactical & medical  
items

Alphapointe is a mission-driven nonprofit manufacturer and one of the largest employers of people who are blind or visually impaired in the United States. Operating through the federal AbilityOne Program, Alphapointe holds anchor contracts serving the VA and Department of Defense. Led by CEO Reinhard Mabry since 2006 — scaling the organization from ~\$20M to \$66.5M — recent milestones include an 18,000+ sq. ft. warehouse expansion completed under budget and a **14% increase in production volume** (151M to 172M+ units) despite a modest headcount reduction. The organization holds a **4-Star Charity Navigator rating (96%)** and is ISO 9001:2015 certified.

# The Strategic Opportunity

## Margin Expansion at Mission Scale

With operating surpluses oscillating between breakeven and ~2.3%, AI-driven SG&A optimization can structurally expand margins by **300–500 basis points** — without displacing the mission-critical blind/VI workforce.

## Productivity Amplification

Production volume grew 14% year-over-year while headcount declined 3.6% — proving the organization can do more with less. AI accelerates this trajectory across manufacturing, quality, procurement, and administrative functions.

## Federal Contract Competitiveness

As AbilityOne introduces competitive distribution rules and pricing reforms, AI-enabled cost reduction becomes a direct competitive advantage — strengthening Alphapointe's position in an increasingly scrutinized procurement environment.

# Why Act Now — The Current Landscape

## Federal Spending Uncertainty

DOGE-driven procurement scrutiny across all federal agencies. AbilityOne Commission introducing competitive distribution and new pricing methodologies. E-commerce bypass of mandatory-source requirements eroding program protections.

## Margin Fragility

Operating surplus has swung from  $-\$1.2\text{M}$  to  $+\$6.4\text{M}$  over 5 years. Sub-3% net margins leave no buffer for contract losses or cost increases. Peer NPAs face identical pressures with no disclosed AI initiatives.

## Labor & Operational Complexity

350 employees across 9 locations in 4 states. 24/7 manufacturing with special workforce accommodations. ISO 9001, DCAA, AbilityOne ratio compliance, and Section 508 manual documentation burden.

## Competitive Repositioning

New AbilityOne rules introduce intra-network competition among NPAs. Revenue flat at  $\sim\$65\text{--}66\text{M}$  since FY2020. The window to establish operational advantage before peers adopt AI is narrowing rapidly.

❏ **AI adoption is not optional — it is a mission-preservation imperative.**

# AI Applications Across the Enterprise



## Finance & Accounting

Government contract cost accounting automation, AP/AR processing, DCAA-compliant reporting, and cash flow forecasting across 9 locations.

**Savings: \$350K–\$500K**



## Sales & Marketing

AbilityOne proposal and bid automation, commercial outreach, contract renewal intelligence, and CRM pipeline optimization.

**Savings: \$450K–\$650K**



## Production & Quality

Computer vision defect detection for molded products, predictive maintenance for injection molding, throughput optimization, and automated quality documentation.

**Savings: \$800K–\$1.2M**



## Supply Chain & Procurement

Government order cycle demand forecasting, raw material procurement optimization, inventory reduction across 9 locations, and logistics route optimization for Base Supply Centers.

**Savings: \$400K–\$600K**

# Consolidated Financial Impact

| Function             | Annual Value      | Timeline  |
|----------------------|-------------------|-----------|
| Finance & Accounting | \$350K – \$500K   | 6–12 mo.  |
| Sales & Marketing    | \$450K – \$650K   | 12–18 mo. |
| Customer Service     | \$300K – \$450K   | 6–9 mo.   |
| HR & Talent          | \$250K – \$380K   | 6–12 mo.  |
| Legal & Compliance   | \$200K – \$300K   | 9–15 mo.  |
| Production & Quality | \$800K – \$1.2M   | 12–24 mo. |
| Supply Chain         | \$400K – \$600K   | 12–18 mo. |
| TOTAL IMPACT         | \$2.75M – \$4.08M | 36 months |

All estimates based on \$66.5M revenue (Form 990 FY2024), ~350 employees, and industry benchmark AI efficiency ranges. Conservative low-end assumes 50–60% of theoretical maximum; high-end assumes 80–90%.

\$500K–\$750K

Total Investment

Over 36 months

5–8 mo.

Payback Period

Rapid return on investment

780–930%

3-Year ROI

Industry-leading return

# Three-Phase Transformation Roadmap



## Phase 1 · Days 1–90

### Fast Wins

- Executive AI immersion training
- AP/invoice automation
- Customer service chatbot
- HR recruiting automation pilot
- AI governance framework

**Investment:** \$65K–\$100K

**Value:** \$120K–\$200K run-rate



## Phase 2 · Months 4–12

### Scale & Integrate

- Enterprise AI platform deployment
- Computer vision QC for injection molding
- Supply chain demand forecasting
- Sales proposal automation
- Compliance documentation AI

**Investment:** \$185K–\$300K

**Value:** \$1.5M–\$2.3M run-rate



## Phase 3 · Months 13–36

### Optimize & Lead

- AI Center of Excellence
- Predictive maintenance across production
- Full procurement optimization
- Advanced analytics dashboard
- Customer self-service portal

**Investment:** \$250K–\$350K

**Value:** \$2.75M–\$4.08M run-rate

# Risk Management Framework

|                                                                                     |                                                                                                                                                                                                                                                                           |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <p><b>Workforce Mission Alignment</b></p> <p><b>Prob: HIGH · Impact: CRITICAL.</b> AI must augment — never displace — the blind/VI workforce defining AbilityOne eligibility. All implementations require human-in-the-loop design and direct labor ratio monitoring.</p> |
|    | <p><b>Fragmented Adoption</b></p> <p><b>Prob: HIGH.</b> 9 locations across 4 states creates coordination risk. Mitigation: AI Steering Committee, enterprise platform by Month 8, standardized deployment playbook.</p>                                                   |
|   | <p><b>Data Quality Gaps</b></p> <p><b>Prob: MEDIUM-HIGH.</b> Legacy systems may have inconsistent data. Mitigation: Data readiness assessment in Phase 1; prioritize high-data-availability use cases first.</p>                                                          |
|  | <p><b>Federal Compliance Risk</b></p> <p><b>Impact: HIGH.</b> DCAA audit requirements, AbilityOne ratio rules, and Section 508 standards must be maintained. Legal review of all AI vendors; human final authority on all regulated outputs.</p>                          |
|  | <p><b>Cybersecurity</b></p> <p><b>Impact: HIGH.</b> Government contract data and PII for a vulnerable population. Mitigation: SOC 2 / ISO 27001 vendor requirements, FedRAMP-aligned cloud for sensitive data, annual penetration testing.</p>                            |



# Mission Capacity Transformation

TODAY · FY2024

## ~\$1.5M Operating Surplus

2.3% net margin · Limited reinvestment capacity · Vulnerable to single-contract disruption

### Margin Fragility

Sub-3% margins offer no cushion against contract losses or federal spending cuts

### 3,690 Individuals Served

Rehabilitation capacity constrained by operational overhead

### ~\$65–66M Revenue Plateau

Flat since FY2020 — growth requires structural efficiency gains

YEAR 3 · POST-AI

## \$4.25M–\$5.58M Operating Surplus

6.4–8.4% net margin · \$2.75M–\$4.08M annual AI value added on \$500K–\$750K investment

### Expand Rehabilitation Services

Fund new programs from operational savings — serve thousands more

### Win New Federal Contracts

Compete under new AbilityOne pricing rules from a position of cost leadership

### Scale to \$80M–\$90M

Grow the mission without proportional SG&A growth

# The Choice Is Clear

❌ OPTION A: STATUS QUO

- Margin erosion under new AbilityOne pricing rules
- Vulnerability to DOGE-driven contract disruption
- Flat revenue trajectory continues through FY2025+
- Inability to fund mission expansion or new programs

✅ OPTION B: AI TRANSFORMATION

→

\$2.75M–\$4.08M annual operating uplift

→

6.4–8.4% net margins – resilient financial foundation

→

Mission capacity to serve thousands more individuals

→

Competitive positioning for new federal contracts

## Immediate Next Steps – Week 1

1

### Day 1–3

CEO convenes leadership team · Secure board endorsement · Commit to 36-month investment plan

2

### Week 1

Engage AI consulting partner · Assign Phase 1 lead (COO/CFO) · Allocate \$65K–\$100K Phase 1 budget

3

### Week 1–2

Organization-wide communication: AI strengthens our mission and our people · Invite employee input in accessible formats

4

### Week 2–4

Select 3–4 Phase 1 pilots · Begin Executive Immersion training

"Alphapointe has spent 114 years proving that vision loss does not limit potential. AI is the next chapter — amplifying human capability to serve more people, strengthen more lives, and secure this mission for the next century."

**Contact:** Dani@ChiefAIOfficer.com · 858-463-1130